



Operating principles of the Corporate Policy for managing sustainability/ESG risks

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1. Introduction

1.1 Background

CaixaBank, S.A. (hereinafter "CaixaBank" or "the Entity") and the other subsidiary companies (hereinafter, jointly with CaixaBank, the "CaixaBank Group" or "the Group") integrate environmental, social and governance (hereinafter, "ESG") criteria¹ into their business decisions with the aim of mitigating risks and supporting those projects that are consistent with their corporate values.

Financial institutions can have a significant impact in helping to achieve the Sustainable Development Goals ("SDGs"), insofar as some of the sectors they finance, invest in or serve are subject to controversy and will face multiple challenges and transformations to their business models and technologies in the coming years, whether due to changes in consumer preferences or regulatory pressure.

Therefore, CaixaBank deems it essential to identify, measure, assess, manage, control, mitigate and report on the risks affected by the cross-cutting ESG factor² associated with the Group's activity.

It also adds other positions that have resulted from comparing the best international practices and the growing expectations of various stakeholders that are relevant to the Group.

They remain separate documents but are linked to the Policy referred to in these Principles, namely the "Operating principles in the area of sustainability", which lay out the Group's internal strategy for engaging with its various stakeholders in this regard³, as well as the "Human Rights Principles", the "Climate Change Statement" and the "Nature Statement".



¹ ESG risks will be referred to hereinafter as equivalent to sustainability risks.

² The Corporate Risk Catalogue defines this as a cross-cutting sustainability factor (ESG) due to its affectation to various risks (credit, business profitability, reputational, legal and regulatory and other operational risks).

³ Compliance by our customers with ESG aspects, and the potential indirect impacts this may have on the Group, are the ESG matters governed by this Policy.

This document sets out the Principles of Action of the corporate sustainability/ESG risk management policy (hereinafter, the "Policy").

1.2 Scope

The risks governed, managed and controlled by the Policy are the following, referred to as "ESG" or "sustainability" risks, as detailed below. These risks are included as a cross-cutting factor in the Corporate Risk Catalogue, as they affect different risks within the taxonomy, such as credit risk, legal and regulatory risk, business profitability risk, reputational risk and other operational risks:

- Environmental risks ("E") are those linked to legal entities that could potentially be affected by, or contribute to, the negative impacts of environmental trends, such as climate change (including increased greenhouse gas emissions, hereinafter "GHG emissions") and other forms of nature degradation (such as air and water pollution, freshwater scarcity, soil pollution, biodiversity loss and deforestation).

Risks related to nature pose potential threats to an organisation given their reliance on and impact on the nature. In addition, risks associated with climate change are those linked to the global warming caused by greenhouse gas emissions. These types of risks can be divided into two categories:

- **Physical**, related to meteorological (for example, hurricanes or storms), geological (earthquakes) events or to the degradation of or changes in the balance of ecosystems (such as rising sea levels, desertification or changes in soil quality), whether:
 - > Acute, due to the higher likelihood and impact of extreme natural events.
 - > Chronic, associated with permanent changes in the environment.

In any case, the physical risks can entail damages to the assets of companies, disruptions in the supply chain or increase the expenses needed to deal with them.

- **Transitional**, resulting from an imbalance between an organisation's strategy and management and developments that aim to stop or reverse the damage to nature; as well as when and how fast we will be able to transition to an economy that is less carbon dependent, which will depend on political/legal, technological, market and reputational factors.
- Social risks ("S") measure potential indirect adverse impacts on society associated with legal entities that do not respect human rights or the health and safety of their employees or workers in the value chain. CaixaBank considers adverse impacts related to the following as particularly important: forced labour, child labour, occupational health and safety, the right to earn a living wage, community issues related to land or (involuntary) resettlement, indigenous peoples' rights, and community health and safety.
- Governance ("G") risks result from a negative impact due to weaknesses associated with legal entities, such as transparency, market behaviour, anti-corruption policies, compliance with tax obligations and other behaviours that are deemed ethical by the relevant stakeholders.

The Policy applies to **companies**⁴:

- with which a commercial relationship is being considered, or to which new transactions,⁵ credit and guarantee renewals and renegotiations, or any other form of financing may be granted;
- in which the Group invests of its own accord in fixed-income and variable-yield securities;
- qualifying as Group companies managed through a portfolio in stock investments.

This document, therefore, does not cover the relationship with internal vendors or with their vendors. In such cases, analysis of risks affected by the cross-cutting ESG factor is covered through the Procurement approval process, which, within CaixaBank and Group companies sharing the same procurement management model, includes the "Supplier Code of Conduct" approved by the Bank's Management Committee.

1.3 Aim

This Policy sets out the principles, assumptions and mechanisms that ensure the governance, management and control of risks affected by the cross-cutting ESG factor associated with customers and own-account investments, in a way that meets the expectations of the Group's stakeholders, while enabling the capture of business opportunities and supporting the transformation that the Group's customers are undertaking and will continue to undertake in the coming years.

Accordingly, the Policy establishes an overarching set of principles on which all actions relating to, or identified as having a material impact on, these risks must be based, as well as the basic governance framework for the authorisation, management, communication and disclosure of such actions, allowing to implement, execute and fulfil in a robust and appropriate manner the provisions set out in the various frameworks that have been defined. The management of risks affected by the cross-cutting ESG factor constitutes one of the key areas of action of the sustainability strategy defined at CaixaBank.

This Policy sets out:



Regulatory framework.



Corporate strategy as regards risks affected by the cross-cutting ESG factor.



Governance framework



Management framework of risks affected by the cross-cutting ESG factor.

⁴ For the purposes of these Principles, references to "companies" include entities forming part of an economic group, applied consistently in line with the scope of the relevant analysis in accordance with criteria defined in the applicable procedures.

⁵ Transactions that involve the Bank assuming credit risk, including primarily general corporate lending, project finance and asset finance transactions, as well as related guarantees and financial guarantees.

2. Scope of application

This is a corporate-level Policy. Consequently, the principles of action defined herein apply to all Group companies engaged in activities exposed to risks affected by the cross-cutting ESG factor. The governance bodies of these companies will make the decisions necessary to integrate the provisions of this Policy. They will apply the principle of proportionality to adapt the governance framework to the idiosyncrasy of their structure of governance bodies, committees and departments, and their principles of action, methodologies, and processes to the contents of this document.



This integration may entail, among others decisions, the approval of an internal policy by the Group company. This approval will be necessary in those Group companies that need to adapt the contents herein to their own specific situation, whether in terms of the subject matter, the jurisdiction or the relevance of the risk in the Group company. The governing bodies of the Group companies shall abide by this corporate Policy when the operational principles of the corporate Policy are applicable but the Group company does not have its own policy, and the corporate Policy lays out principles, obligations and activities that must be carried out directly by the Group company. In those cases in which the Group company's risk control and management activities are done directly by CaixaBank, either due to the materiality of the risk in the Group company or for reasons of efficiency or because the Group company has externalised to CaixaBank the operational management of that risk, the governing bodies of the affected Group companies will acknowledge the existence of this corporate Policy and of its application to said Group companies.



In any case, CaixaBank's Sustainability Committee, given its corporate character, will ensure that these policies are integrated by the Group companies in a proportionate manner, that any internal policies approved by the Group companies are consistent with the corporate policy, and that all the policies are consistent throughout the CaixaBank Group.

Lastly, in addition to being a corporate policy, the Policy is also deemed to be the individual policy of CaixaBank, as the parent company of the CaixaBank Group.



3. Regulatory framework. General applicable rules and regulations

This Policy shall be governed by prevailing law and regulations, as well as by any that may amend or replace them in the future. More precisely, at the date of this document, the main regulations applicable to the parent of the Group are as follows:

- Regulation (EU) 1623/2024 of the European Parliament and of the Council, of 31 May 2024, amending Regulation (EU) 575/2013 as regards requirements for credit risk, credit valuation adjustment risk, operational risk, market risk and the risk-weighted assets floor.
- Regulation (EU) No 575/2013 of the European Parliament and of the Council, of 26 June 2013, on prudential requirements for credit institutions and investment firms.
- Directive 2024/1619 of the European Parliament and of the Council, of 31 May 2024, amending Directive 2013/36/EU as regards supervisory powers, sanctions, third country branches and environmental, social and governance risks.
- EU Directive 2013/36 of the European Parliament and of the Council of 26 June 2013 on access to the activity of credit institutions and investment firms.
- Spanish Law 10/2014, of 26 June, on the organisation, supervision and capital adequacy of credit institutions.
- Royal Decree 84/2015, of 13 February, implementing Act 10/2014 of 26 June.
- Bank of Spain Circular 2/2016, of 2 February, on the supervision and solvency of credit institutions.
- CNMV Circular 1/2014, of 26 February, on internal organisation requirements and control functions for investment firms.

- Regulation 2020/852 of the European Parliament and of the Council of 18 June 2020 on the taxonomy that lays out the definition of "green" activities.
- Commission Delegated Regulation (EU) 2021/2139, of 4 June 2021, supplementing Regulation (EU) 2020/852 of the European Parliament and of the Council, setting out the technical selection criteria for determining the conditions under which an economic activity is considered to substantially contribute to the sustainable mitigation of climate change or the adaptation to it, and for determining whether that economic activity does not result in significant damage to any of the other environmental objectives.
- Commission Delegated Regulation (EU) 2021/2178, of 6 July 2021, supplementing Regulation (EU) 2020/852 of the European Parliament and of the Council through the specification of the content and submission of the information to be reported by companies subject to Articles 19a or 29a of EU Directive 2013/34 as regards sustainable economic activities from an environmental perspective, and the specification of the methodology for complying with the information reporting obligation.
- Commission Delegated Regulation (EU) 2023/2485, of 27 June 2023, amending Delegated Regulation (EU) 2021/2139, setting out the additional technical selection criteria for determining the conditions under which an economic activity is considered to substantially contribute to the mitigation of climate change or the adaptation to it, and for determining whether that economic activity does not result in significant damage to any of the other environmental objectives.
- Commission Delegated Regulation (EU) 2022/1214, of 9 March 2022, amending Delegated Regulation (EU) 2021/2139 as regards economic activities in certain energy-related sectors and Delegated Regulation (EU) 2021/2178 as regards the public dissemination of specific information relating to these economic activities.
- Commission Delegated Regulation (EU) 2023/2486, of 27 June 2023, supplementing Regulation (EU) 2020/852 of the European Parliament and of the Council, by setting out the technical selection criteria for determining the conditions under which an economic activity is considered to substantially contribute to the sustainable use and protection of water and marine resources, the transition to a circular economy, the prevention and control of pollution, or the protection and restoration of biodiversity and ecosystems, and for determining whether that economic activity does not result in significant damage to any of the other environmental objectives, and whereby amending Commission Delegated Regulation (EU) 2021/2178 as regards the public dissemination of specific information relating to these economic activities.
- Directive (EU) 2022/2464 of the European Parliament and of the Council, amending Regulation (EU) 537/2014, Directive 2004/109/EC, Directive 2006/43/EC and 2013/34/EU, in relation to the presentation of sustainability information by companies.
- Regulation (EU) 2019/2088 of the European Parliament and of the Council of 27 November 2019 on the disclosure of information regarding sustainability in the financial services sector.
- The European Union Omnibus Regulation, approved by the Commission on 26 February 2025, which simplifies and harmonises the sustainability reporting framework by amending Directive (EU) 2022/2464 (CSRD), the Corporate Sustainability Due Diligence Directive (CSDDD/CS3D) and Regulation (EU) 2020/852 on the Taxonomy.

With regard to Group companies or, where applicable, branches subject to foreign jurisdictions or additional industry regulations, any policies and procedures developed by such Group companies or subsidiaries shall take into account, in addition to their own regulations, the obligations at the consolidated level as contained in applicable law and regulations, provided that they do not contradict the specific requirements of the corresponding jurisdiction or industry regulations.



In addition, the Policy takes into account the following standards and guidelines, as well as any others on sustainability referred to in the relevant sections outlining the applicable criteria:

- Equator Principles, a set of financial sector guidelines to determine, assess and manage the socio-environmental risk of financing projects in developing countries. These Principles were created on 4 June 2003 and resulted from an initiative of the International Finance Corporation (IFC), an agency of the World Bank that promotes sustainable private sector investments.
- EBA Guidelines of 21 March 2018 on internal governance (EBA/GL/2017/11), adopted by the Bank of Spain on 18 May 2018 and updated on 2 July 2021 (EBA/GL/2021/05), which became effective on 31 December 2021 and adopted by the Bank of Spain on 25 November 2021.
- CNMV guide for the preparation of management reports for listed companies (2013).
- Guide of the European Central Bank on risks related to the climate and environment, of 27 November 2020.
- EBA report of June 2021 on managing and monitoring ESG risks for credit entities and investment companies.
- EBA Guidelines of 8 January 2025 on the management of environmental, social and governance (ESG) risks.

Lastly, in addition to CaixaBank, each Group company or, where relevant, branch shall develop such frameworks, rules, guidance or procedures as may be necessary for the proper implementation, execution of and compliance with the Policy.

4. Corporate strategy as regards risks affected by the cross-cutting ESG factor

The strategy that will govern the activity of the CaixaBank Group for controlling and managing the risks affected by the cross-cutting ESG factor involving customers and proprietary investments considers the following key areas of action:



Promote sustainable businesses that generate production with a positive environmental and climate impact and support the transition toward more sustainable business models.



Integrate social, environmental and governance risks into decision-making and avoid financing or investing in those companies or projects that involve serious human rights or labour offences, or that have a negative environmental impact without sufficient mitigation measures or adequate transition measures being put in place.



Work to understand the impacts on human rights derived from its activity and thus prevent and avoid contributing to any potential negative impacts, or to mitigate them as much as possible otherwise.



Manage the social, environmental and governance risks and integrate the analysis of these risks into the customer admission processes, in the products and services provided to customers, proprietary investments and management of stock portfolios.



Acting in accordance with public commitments undertaken, such as the "Principles on sustainability", the "Climate Change Statement", the "Nature Statement", the "Human Rights Principles", the "Principles for Responsible Banking" and the "Equator Principles", as well as any other ESG initiative or commitment deemed appropriate, always subject to the responsibility to comply properly with their requirements.



Support the transition to a net-zero emissions economy by 2050. To do so, it will guide its customers in the decarbonisation of their activities by helping them to develop and implement solutions and technologies that accelerate the transition to a net-zero carbon emissions economy. It will also impose restrictions on financing heavily polluting sectors, forcing them to abide by certain conditions, such as establishing specific and achievable decarbonisation targets. Exceptionally, it may also be allowed to finance activities in sectors in certain countries where the energy transition may be particularly complex or have a significant adverse social impact.



Promote transparency by properly reporting to markets on the management and control of ESG risks, in compliance with the applicable laws and best practices.

5. Governance framework

The pillars that support the framework for managing the risks affected by the cross-cutting ESG factor at the CaixaBank Group are:

- Compliance with the principles set out in the Policy by CaixaBank Group companies within its scope of application.
- Corporate supervision by the parent company.
- Alignment of strategies among the Group companies and, in turn, alignment with best practices, supervisory expectations and prevailing regulations.
- Maximum involvement of the governance bodies and management of the Group companies.
- Internal control framework based on the Three Lines of Defence model, which guarantees strict segregation of duties and the existence of multiple independent control layers.
- Incorporation into the current processes for onboarding customers, issuing financing and proprietary investments, as well as enforcing the governance that applies thereto in order to encourage greater and better integration of ESG in decision-making and minimise redundant processes, which could hamper commercial or investing activities.

The Board of Directors of CaixaBank is responsible for implementing a risk governance framework that addresses the Group's risk propensity. This includes the promotion of a solid and diligent risk culture, establishing the risk appetite within a Risk Appetite Framework (RAF) and well-defined responsibility for risk-taking, management and control.

The Board of Directors, as the body ultimately responsible for establishing the Group's overall strategies and general policies, is responsible for approving this Policy, subject to prior review by the Risk Committee and the Appointments and Sustainability Committee, and for ensuring compliance with its provisions.



6. ESG risk management framework

6.1 Risk culture

A core aspect of sustainability/ESG risk management is to ensure that it is taken into consideration at all times. To that end, the operational units that manage sustainability/ESG risk will promote specific training and communications on sustainability/ESG risks.

The purpose of such training and communications will be to prepare the Group areas and companies exposed to sustainability/ESG risk to:

- Identify, manage, mitigate and, as far as possible, consciously and constantly prevent a potential security event.
- Take ESG risks into account when establishing and implementing processes and activities, as well as when creating new products and distribution channels.

6.2 General lines of action

The ESG risk management framework implemented in furtherance of the Policy must include at least the following lines of action:

1. Define and manage a plan for managing ESG risks that is consistent with the Group's strategy.
2. Define and manage the implementation of a framework for onboarding, monitoring and mitigation policies that allow maintaining a risk profile that is consistent with said strategy.
3. Develop the ESG risk analysis tools needed for decision-making in the customer onboarding and risk concession processes, whether in corporate or project formats.
4. Monitor the activities and operations with a potential significant impact on ESG risks.
5. Incentivise practices to mitigate the ESG risks assumed in portfolios within the scope of application of this Policy or other types of activities (such as the issuance of green or social bonds).
6. Promote the development of systems for identifying operations and measuring exposure to ESG risks that reflect changes in regulations, in society's sensitivity to these risks and in best market practices.
7. Assign personnel within the existing organisational structure to manage ESG risks, with the necessary separation of duties to ensure independence between the departments responsible for the processes of defining the strategy, analysing and approving operations, and monitoring and controlling said risks.
8. Establish a system of authority for onboarding ESG risks that allows said risks to be incorporated quickly but robustly into normal decision-making processes, consistent with the scope of this document.

6.3 Key policy compliance processes

In order to enforce this Policy and the risk appetite and ensure that the impact on the Group's commercial and investing activity is acceptable, a methodology will be applied to evaluate ESG risks, which will be implemented in the relevant onboarding processes applicable to the perimeter described in Section 1.2. Scope.

6.3.1. Methodology for evaluating and approving ESG risks when evaluating customers and financing operations

Determination of the ESG risk level

As with other risks that affect CaixaBank, the need to evaluate the ESG risks of customers, operations and assets will be initiated by assessing the inherent risk, which will be estimated based on certain characteristics, such as the activity code (CNAE) that is most representative of the Group's activity, the country of residence when it poses a high ESG risk or the intended use of the funds.

Process for evaluating ESG risks

ESG risk assessment is built into both the customer onboarding process (ESG onboarding) and the financing transaction approval process. Both analyses apply to all customers and transactions falling within the scope of the Policy (see section 1.2 Scope).

- a) During customer onboarding, an analysis of ESG risk is carried out to verify compliance with the Policy criteria relating to Human Rights, Occupational Health and Safety, analysis of decarbonisation strategies on the basis of objective parameters, ESG control environment and performance, potential ESG controversies⁶ and, where applicable, defence-related matters.
- b) During the approval of corporate or general financing transactions, an analysis is conducted of the ESG risks associated with the customer's activity, complementing that carried out during the customer onboarding process. This analysis looks at environmental, social and governance risks and impacts, including the ESG control environment and performance (mitigating actions), the existence of ESG controversies, and the decarbonisation strategy. Where the financing is intended for specific projects, an assessment is carried out according to the type of asset to be financed, which may include compliance with the Equator Principles where applicable.

As a result of this analysis, the customer is classified accordingly based on how it manages ESG risks. Depending on the resulting level, customer onboarding and/or the transaction may be made conditional or even rejected if the relevant screening criteria are not met. Through these two processes, holistic and comprehensive ESG due diligence will be carried out on customers. To complete these analyses, information will be consulted from public sources and external ESG information providers, particularly in

⁶ For example, issues related to nature (biodiversity, land use, etc.), energy and climate change, water stress, pollution and waste, impact on local communities, human rights, civil liberties, child labour, discrimination, freedom of association, occupational health and safety, the quality of products and services, relations with consumers, supply chain management, anti-trust practices, privacy and data security, fraud and bribery, controversial investments, governance structures and others related to environmental, social or governance issues

relation to severe controversies concerning the screening criteria set out in the Policy. In addition, there is a Controversies Working Group made up of ESG experts and the Reputational Risk Service.

CaixaBank seeks to obtain as much sustainability information as possible from its customers and also uses information from external ESG information providers as a basis for decision-making. However, it remains dependent on the availability and quality of the information reported.

The onboarding of a customer or approval of a credit risk transaction shall follow the standard approval process, in addition to the provisions of the Policy.

If, during the analysis process, insufficient evidence is found to round off the analysis or if clarifications are needed from the customer, additional documentation or the signature of a declaration by the customer may be sought, bearing in mind materiality and proportionality criteria.

Depending on the materiality of the ESG impact and the risk appetite, this Policy excludes certain types of companies from the customer base (i.e. it does not provide products or services and it does not invest in them), and in other cases it specifies financing and investment restrictions.

Consequences of evaluating ESG risks

As a result of ESG risk assessments, CaixaBank may determine an outcome that will be decisive for customer onboarding and also for the granting of financing transactions to customers or project finance.

This outcome results from the review of all the aspects set out in the Policy and will therefore depend on the analysis of the customer's decarbonisation strategy, controversies and possible biodiversity impacts, among other ESG aspects.

Additional measures may also be required to mitigate the risk of non-compliance with the Policy in certain transactions, such as the inclusion of covenants or the signing of letters of commitment, in order to ensure alignment with the provisions of the Policy.

6.3.2. Proprietary investment in fixed or variable-yield equities

Broadly speaking, approval of the Policy will not entail any change to the processes defined for decision-making in respect of a new asset. Therefore, any investment proposals for a new asset shall be subject to existing policies, as well as to their implementing standards, criteria and procedures but with a new element, namely, the addition of ESG criteria.

The management model for this activity, adapted to the specific features of investment in these assets, is based primarily on verifying compliance, using information provided by specialist ESG providers, with the most relevant aspects of the Policy, as well as on restrictions on investment in companies directly or indirectly involved in controversial activities.

6.3.3. Managing the equity investment portfolio

The methodology explained above shall likewise apply to this activity, albeit with adaptations to the nature of the internal management process and the materiality of the equity investments, based on the activity and the main country of the issuer, and using similar criteria to those written for the onboarding of corporate customers.

Where it is deemed necessary to assess in detail the level of compliance with the policy for a particular investee, through a questionnaire or an individual report, the area managing the holding shall provide the publicly available information.

6.3.4. Dialogue

As part of the process for complying with the Policy, CaixaBank maintains a regular dialogue with the companies it finances and invests in, depending on their relevance or influence. CaixaBank considers that this is the best way of achieving a positive impact.

Activities included in CaixaBank's exclusion list are managed in accordance with the framework set out in the Policy, prioritising support for and promotion of the sustainable transition wherever progress in that direction is possible. In this regard, support and dialogue with customers are encouraged in order to foster their progression towards more sustainable practices.

In addition, for certain transactions or customers subject to the ESG risk assessment process (see section 6.3.1), that assessment may show that the customer does not fully meet all the expectations set out in the policies applicable to it. In these cases, customers may be asked to work towards compliance with our evaluation criteria.

Where breaches of the Policy are identified in existing customers, or the customer shows insufficient progress in integrating measures into its day-to-day operations, CaixaBank may engage in targeted dialogue with the aim of ensuring that the customer meets CaixaBank's expectations and adopts measures to prevent further breaches in the future, or so that the customer presents a plan describing how it intends to improve its practices, including specific targets and credible timeframes.

6.3.5. Discretionary portfolio management, investment advice and asset management

CaixaBank offers discretionary portfolio management services and investment advice to its customers. The former is carried out through CaixaBank Asset Management under a delegated management agreement. In addition, several Group entities manage assets on behalf of customers, mainly through investment funds, SICAVs, insurance-based investment products and pension funds. For the purposes of the Policy, these activities are considered investment activities.

CaixaBank's policy lays down the general principles for all Group activities, with a focus on financing activities. In relation to investment activities, asset management, portfolio management and investment advice apply those established principles, adapting them to the particular characteristics of these businesses. For these cases, Group entities have specific policies for integrating ESG risks into investment, which in all cases are inspired by and aligned with the principles of the Group Policy, adapted to the specific characteristics of the relevant investment activities.

To integrate ESG risks into discretionary portfolio management and investment advice, CaixaBank and Group companies rely on information provided by specialist providers, including ESG ratings, controversy indicators and specific sustainability metrics. This information is used, among other things, to define investable and advisory universes, set exposure limits and impose restrictions on investments in sectors or

activities excluded under the Group's corporate sustainability/ESG risk management policy, taking into account the specific features of each entity.

This information is used, among other things, to define investable and advisory universes, set exposure limits and impose restrictions on investments in sectors or activities excluded under the Group's corporate sustainability/ESG risk management policy, taking into account the specific features of each entity.

6.3.6. Principal Adverse Impacts on sustainability factors

The social and environmental impacts of the activities performed by investees are monitored periodically, subject to the availability of information. These negative impacts on sustainability matters are known as "principal adverse impacts" and arise, among other things, through carbon emissions, exposure to fossil fuels, waste levels, gender diversity, human rights violations, and corruption, bribery and other practices harmful to society and the environment.

The Bank gives priority to managing these impacts in accordance with the Policy, as well as through other sustainability-related policies, strategies and commitments. These impacts are taken into account in analysis processes, portfolio management, investment advice and the configuration of investable universes, to the extent permitted by the availability and quality of the data.

Principal adverse impacts, together with ESG ratings and controversy monitoring, are a relevant element in defining exclusions, setting exposure limits, and the review and monitoring processes for portfolios managed or advised by the Group.

7. General and sector-specific assessment and screening criteria

The Policy establishes a set of criteria to exclude or limit the assumption of exposure to ESG risks, structured at two levels:



General criteria of action, of a cross-cutting nature, applicable to all customers (legal entities) within scope (section 1.2), regardless of the sector in which they operate, to which the Entity provides or may provide services or financial products, or in which it may invest directly.



Specific criteria of action to exclude or limit the assumption of exposure to certain sectors (hereinafter, "sector-specific") and activities with a particularly significant impact on the environment or society.

These criteria form part of the ESG assessment for the approval of customers and transactions, which begins with an initial review applicable to all customers within scope, regardless of sector. This assessment considers the customer's performance on climate change, nature and human rights; the existence of ESG controversies; and the robustness of its sustainability control environment (for further details, see section 6.3.1 Methodology for the assessment and approval of ESG risks in the assessment of customers and financing transactions).

In each area detailed below, the Policy distinguishes between the “aspects considered in the assessment of customers”, which define some of the analytical elements used to assess sustainability performance, and the “exclusions and restrictions”, which establish the requirements activities or customers must meet to ensure alignment with the Policy.

7.1 General screening criteria

7.1.1 Human rights

Context and objectives

For the Group, a respect for human rights is an essential part of its values and provides a minimum framework for the legitimate conduct of the Bank's activity. Similarly, it believes that the protection of human rights depends primarily on governments, and that companies have the duty to promote and abide by them over the course of their activities.

Given this premise, and in keeping with its policies and responsible stances on ethics and human rights, CaixaBank operates under a culture of respect for human rights and expects its employees, collaborators, partners and other parties directly involved in its operations, products and services to do so as well.

In order to mitigate the risk of being complicit in such breaches, in addition to abiding by a series of industry standards, CaixaBank also has a series of general screening criteria.

Applicable standards

The Policy has been prepared taking into account internationally recognised standards and initiatives, including in particular:

- Universal Declaration of Human Rights
- International Covenant on Civil and Political Rights
- Fundamental Conventions of the International Labour Organization (ILO)
- United Nations Declaration on the Rights of Indigenous Peoples
- Convention on the Rights of the Child
- Declaration on Human Rights Defenders
- United Nations Guiding Principles on Business and Human Rights
- OECD Due Diligence Guidance for Responsible Business Conduct
- National Action Plan on Business and Human Rights
- OECD Guidelines for Multinational Enterprises
- The UN Global Compact initiative
- International Finance Corporation (IFC) performance standards
- Equator Principles

Aspects considered in the customer evaluation in relation to Human Rights:

The general ESG risk assessment process is set out in section 6.3.1. Furthermore, CaixaBank takes into account the actual and potential human rights risks and impacts of its customers and transactions.

As part of this due diligence, CaixaBank considers, among other things, the following aspects when assessing companies' performance:

- The existence of a Human Rights, Sustainability, Corporate Social Responsibility, Ethics or Code of Conduct policy.
- Transparency regarding environmental, social and governance performance and management, in accordance with applicable law or an internationally recognised sustainability reporting standard.
- Existence of an Occupational Health and Safety Policy based on international standards (for example, ISO 45001 certification) or a sound Occupational Health and Safety track record. Where there is any controversy in this area, the mitigating measures taken will be assessed.

The above aspects constitute guidance for the assessment of customers in this area and will be taken into account where applicable in accordance with materiality and proportionality, with the aim of determining whether they comply with the Policy.

Exclusions

In the area of human rights, the Group establishes a number of general exclusions applicable to all customers and transactions falling within the scope of the Policy (in any sector):

- No financial services shall be provided to, and no investment shall be made in, companies and groups for which there is solid evidence of material human rights violations (for example, child or forced labour, among others, as defined in the ILO Conventions⁷). In the case of project finance, this exclusion also applies to third parties involved where their participation is material.
- No financial services shall be provided to, and no investment shall be made in, companies and groups that do not have health and safety policies in place to protect their workers or cannot provide an adequate health and safety track record for their workers over the previous five years.
- No financing shall be provided for transactions or projects involving the violation of the rights of indigenous or vulnerable groups, or their resettlement, without their free, prior and informed consent.

In addition, as set out in section 6.3.1, the Group may decide not to finance transactions or customers whose human rights performance is inadequate or whose potential impacts conflict with the Bank's commitments in this area.

⁷ (International Labour Organization)

7.1.2. Climate change

Context and objectives

Climate change is one of the biggest challenges that the planet faces, with ramifications for the environment, society and the economy.

The scientific community and organisations such as the Intergovernmental Panel on Climate Change (IPCC) have concluded that only significant and persistent reductions in greenhouse gas emissions can limit global warming and reduce the risks and impact of climate change.

In 2015, the Paris Agreement laid out a worldwide action plan whose long-term goal is to limit the increase in average global temperatures to well below 2° C based on pre-industrial levels, and limit the increase to 1.5° C.

It is CaixaBank's desire to help transition to a carbon-neutral economy, as reflected in the environmental evaluation of the activities performed by its customers, the impact of its financing operations and by financing and investing in sustainable projects. In this regard, CaixaBank has set decarbonisation targets for the most GHG-intensive sectors, with a view to achieving net zero emissions by 2050 in its loan book and investment portfolio.

Applicable standards

The Policy has been prepared taking into account internationally recognised standards and initiatives, including in particular:

- Sustainable Development Goals (SDG) of the 2030 Agenda of the United Nations
- Paris Agreement (COP21) under the United Nations Framework Convention on Climate Change and Katowice (COP24)
- United Nations Global Compact (UNGC)
- Carbon Disclosure Project
- UNEP FI Statement on Sustainable Development and Positive Impact Initiative
- IFC Performance Standards and Environmental, Health and Safety Guidelines
- Equator Principles
- Principles for Responsible Investment (PRI)
- Green and Social Bond Principles
- Responsible Banking Principles endorsed by UNEP-FI
- Science-based Targets Initiative
- The energy transition scenario adopted by the Government of Spain
- Partnership for Carbon Accounting Financials (PCAF)
- Carbon Tracker Initiative (CTI)

- Transition Pathway Initiative (TPI)
- UNEP FI Guidance for Climate Target Setting for Banks



Commitment to carbon neutrality by 2050

In assessing customers and transactions, CaixaBank takes into account its own decarbonisation commitments as a lever for managing climate transition risk. CaixaBank has incorporated into its climate strategy the objective of progressing towards carbon dioxide emissions neutrality by 2050, including across its loan books and investment portfolios.

In addition, CaixaBank has published its commitment to stop financing companies linked to thermal coal, with the aim of reducing exposure to zero by 2030 ("phase out").

CaixaBank will continue to progress in relation to the decarbonisation commitment of its portfolio, publishing information in this regard both on its website and in the relevant public reports, including the Management Report, the ESG Risk Report and the Climate Report.

Aspects considered in the customer evaluation in relation to climate change

In the area of climate change, the assessment focuses on decarbonisation strategy, the management of climate impacts and the performance level of customers whose activities are more carbon-intensive, and is applied in accordance with the principles of materiality and proportionality.

The emissions impact and climate risk of project-related transactions will also be assessed, irrespective of whether specific portfolio decarbonisation targets exist for that sector.

For the assessment of the decarbonisation strategy, a set of common, objective criteria will be applied to analyse its consistency, robustness and credibility in relation to the management of the climate transition. Other climate-related elements will also be assessed, such as the customer's climate performance, its exposure to transition and physical risks, and the quality of its governance and management of those risks, among other relevant aspects.

Restrictions

Depending on this assessment, the Group may decide not to finance those transactions or customers that may pose a material climate risk to the Bank. This decision may be taken where the climate assessment

indicates that the customer's decarbonisation strategy or pathway is inadequate, or where the transaction may generate significant risks associated with the transition to a low-carbon economy or affect compliance with the Bank's climate change commitments.

7.1.3. Nature

Context and objectives

CaixaBank recognises that its clients' economic activities can have substantial impacts on nature. These impacts may be more serious when they affect high-value areas of biodiversity, sensitive ecosystems, water-stressed areas or nationally and internationally protected areas; or when the impact in itself is relevant, whether or not it occurs in this type of area. Consequently, the Company includes this consideration when managing its sustainability risks in order to minimise the impact of its portfolio on nature.

The Bank also recognises that clients' interaction with nature may give rise to risks both to their own activities and to the Bank's risk profile. Accordingly, CaixaBank integrates these considerations into its sustainability risk management, with the aim of both minimising the impact of its portfolio on nature and managing the associated risks, through the application of general and sector-specific criteria.

Applicable standards

The Policy has been prepared taking into account internationally recognised standards and initiatives, including in particular:

- UNESCO World Heritage Convention
- Ramsar Convention on Wetlands of International Importance Especially as Waterfowl Habitat (Ramsar Convention)
- Forest Stewardship Council International Standard
- Global Network of UNESCO Biosphere Reserves
- Protected Areas of the International Union for Conservation of Nature (IUCN)
- Recommendations of the Task Force on Nature-related Financial Disclosures (TNFD)

Aspects considered in the customer evaluation in relation to nature:

CaixaBank expects that its customers adopt best practices with regard to nature.

The general ESG risk assessment process is set out in section 6.2.1. Furthermore, CaixaBank takes the real and potential risks and impacts of its customers and operations on nature. As part of this due diligence process, CaixaBank takes into consideration for its assessment, the performance of companies in relation to this matter, as well as other general criteria, considering aspects including but not limited to the following:

- Having a Biodiversity or Nature Policy.
- Identifying the potential impacts on nature (including but not limited to impacts in relation to water shortage, biodiversity, soil, water and air pollution, or waste), avoiding them, minimising those that are

not avoidable, restoring, compensating actual impacts and performing mitigation actions in relation to nature.

- For projects, being biodiversity certified (for example, adherence to IFC standards -*International Finance Corporation*- in relation to Biodiversity), or environmental impact reports, in particular when there may be a potential impact on tropical forests, High Conservation Value areas (HCV), High Carbon Content areas (HCS), areas protected under Red Natura 2000, or protected natural spaces.

The above aspects constitute guidance for the assessment of customers in this area and will be taken into account where applicable in accordance with materiality and proportionality, with the aim of determining whether they comply with the Policy.

Exclusions:

Projects

The Group will not assume any credit risks involving new projects when there is sufficient evidence that any of the following conditions exists:

- They negatively affect the zones included on the UNESCO list of World Heritage Sites, the Ramsar list of wetlands, sites of the Zero Extinction Alliance, protected areas in Categories I-IV of the International Union for Conservation of Nature, protected marine areas, primary tropical rain forests, Primary Forests or High Conservation Values or Virgin Forests, as defined by the *World Resource Institute*.
- There is a significant environmental impact when the companies do not provide in their *due diligence* enough information on their environmental policy to mitigate risks⁸.

In addition, as set out in section 6.3.1, the Group may decide not to finance transactions or clients whose performance in relation to nature is insufficient or whose impacts on ecosystems and biodiversity run counter to the Bank's commitments in this area.

7.2 Sector-specific screening criteria

7.2.1. Energy

Context and objectives

The energy sector is of major significance in the development of the global economy and access to secure and affordable energy is a fundamental basic service for global well-being. However, CaixaBank is aware that the energy sector has significant environmental and social impacts, as well as risks and opportunities arising from climate change and the process of transition to a low-carbon economy.

In this context, reducing the use of fossil fuels and moving towards energy generation systems with low GHG emissions make a substantial contribution to combating climate change. At the same time, the sector faces physical risks, such as the exposure of infrastructure to extreme climate events, and transition risks resulting from regulatory, technological and market changes.

⁸ Applies to those project finance transactions where due diligence is carried out in relation to impacts on the atmosphere, ecosystems, soil, water and biodiversity.

In addition, consideration must be given to the adverse impact of the energy sector on the environment and on society, such as the impact on ecosystems, the generation of impacts on biodiversity caused by the construction of energy infrastructure in sensitive areas, the generation of hazardous waste, occupational health and safety and the impact on local communities. These impacts must be managed appropriately, while reconciling them with the need to advance the energy transition and the growing demand for more affordable, safe, clean and efficient energy sources.

Oil and gas

Oil and gas play an important role in the global energy mix, although their activities may have environmental and social impacts, especially in the case of unconventional resources such as oil sands, shale or fracking, or where they are carried out in complex or sensitive areas. In addition, these activities are exposed to risks arising from the transition to a low-carbon economy and their environmental impacts are directly associated with greenhouse gas (GHG) emissions.

Coal

Coal-related activities involve significant environmental impacts, particularly due to their GHG emissions, as well as material transition risks associated with the decarbonisation of the economy.

Nuclear power

The improper use of nuclear power can lead to safety, health or environmental problems, such as radioactive contamination, which can have a major impact on biodiversity and communities.

Renewable energy

Renewable energy plays a key role in the energy transition. However, its development may entail adverse environmental and social impacts, especially where these are not properly managed (for example, water use or impact on biodiversity).

Sector scope

The energy sector covered by the Policy refers to clients engaged in the following activities:

- Companies whose activities are related to oil and gas;
- Processing and production: refining, including the petrochemical industry, refineries, gasification, etc.
- Electric power generation using fossil fuels (coal, oil and gas); and using renewable energy sources (wind, solar, hydro, geothermal, biomass and liquid and gaseous biofuels);
- Heat generation using renewable energy sources (geothermal and solar) and waste;
- Production of bioenergy (solid biomass and liquid and gaseous biofuels) used as an alternative to solid fuels;
- Business and logistics activities and services specifically designed for or used by the energy sector, including trade, which includes shipping, pipelines, storage facilities, vessels, floating production storage and offloading units (FPSO), blending, and the transmission, distribution and sale of heat and electricity;
- Nuclear power generation.

Applicable standards

The Policy has been prepared taking into account internationally recognised standards and initiatives, including in particular:

- Guide of the International Petroleum Industry Environmental Conservation Association International (IPIECA) in conflict areas
- Global Gas Flaring Reduction Partnership of the World Bank
- Extractive Industries Transparency Initiative
- Non-mandatory standards for the global reduction of gas burning and venting International Energy Agency's voluntary principles of human rights and safety
- Environmental, Health and Safety guidelines of the World Bank
- Energy and Biodiversity Initiative (EBI)
- Convention on Nuclear Safety (Vienna, 1994)
- Convention on Civil Liability for Nuclear Damage (Vienna, 1963)
- Safety standards of the International Atomic Energy Agency (IAEA)
- Convention on the safety and processing of spent fuel and on the safe management of radioactive waste (Vienna, 1997)

Aspects considered in the customer evaluation in relation to the energy sector

CaixaBank expects its customers in the energy sector to follow and develop best industry practices in relation to mitigating climate change, protecting biodiversity, occupational health and safety, protecting the rights of local communities and safety at its facilities. The general ESG risk assessment process is set out in section 6.3.1. As part of this due diligence, CaixaBank takes into consideration in its assessment:

- The existence of a supply chain management system that takes into account environmental, human rights, and health and safety aspects relating to suppliers and subcontractors.
- In projects, the existence of systems and procedures for cleaning up spills in operations, controlling pollutant gas emissions, gas venting and flaring, and effluent discharges.

In the assessment of clients and transactions related to the energy sector, CaixaBank takes into account its own decarbonisation commitments. In the energy sector, CaixaBank has set decarbonisation targets for the electricity and oil and gas sectors. In addition, CaixaBank has published its commitment to stop financing companies linked to thermal coal, reducing exposure to zero by 2030 ("phase out").

The aspects mentioned above constitute guidance for assessing clients in this area and shall be considered where applicable in accordance with materiality and proportionality, with the aim of determining whether they comply with the Policy.

Exclusions and restrictions

Clients

The Group shall not assume credit risk in **new transactions and renewals** with any of the following characteristics:

- In line with its thermal coal **“phase out” commitment**, requests by groups with more than 5% of revenues derived from coal-fired electricity generation or developers⁹ of thermal coal power plants, except where:
 - They have a coal exit strategy ensuring that revenues from electricity generation from coal will not exceed the 5% threshold in 2030; or
 - The purpose of the transaction is the installation of renewable energy or another demonstrable purpose associated with the energy transition.
- **Groups primarily engaged in the exploration, extraction and production of oil and natural gas**, unless the purpose of the transaction is the installation of renewable energy or another demonstrable purpose associated with the energy transition.
- Companies where there is evidence that **oil sands** exploration, production or transport activities account for more than 10% of turnover.
- Companies where there is evidence that **oil and gas exploration, production or transport activities in the Arctic region** (AMAP¹⁰) account for more than 10% of turnover.



Projects

The Group shall not assume credit risk in **new projects** with any of the following characteristics:

- Transactions whose purpose is the **exploration, extraction and production of oil and natural gas**.
- **Exploration, production, processing or transport projects involving oil sands**, including transport infrastructure for which there is solid evidence that it will be used to transport oil, a significant percentage of which is from oil sands.
- **Projects for the exploration, production or transport of oil and gas in the Arctic region**, including transport infrastructure intended to transport a significant proportion of oil and gas originating from the Arctic region (AMAP¹¹).
- **Ultra-deepwater oil and gas** exploration and production projects.¹¹
- **Shale oil and gas** exploration and production projects.

⁹ Business that are developing or planning to develop new thermal plants or extend existing ones. The Global Coal Exit List (GCEL) is used as a reference for identifying companies involved in the coal industry, including those developing new coal-fired power generation capacity (energy) and those exploring, opening or expanding coal mines, or extending their operational life (mining).

¹⁰ Definition of the Arctic Monitoring and Assessment Programme

¹¹ Ultra-deepwater means water depths of 1,500 metres or more.

- **Fracking projects.**
- Projects specifically for the **construction, development or expansion of coal-fired power plants, including captive or self-generation plants for industrial use.**
- Construction, development or expansion of **nuclear power plants or uranium enrichment facilities.** Projects may be financed that are related to the generation of nuclear power but only when the relevant safety requirements and international standards are duly met and in line with international standards. These rules may differ depending on the jurisdiction in question, as well as the reliability and experience of the parties involved and the specific requirements governing the technological safety and security of the nuclear power stations.
- Intended to **transport energy and that have no procedures, based on the best available practices,** to mitigate the risk of a leak or spill.¹²

In addition, for midstream and downstream oil and/or gas transactions, the tenor of the transactions will be considered a relevant driver and continuous monitoring will be carried out within the risk management framework. Lastly, CaixaBank's objective¹³ with existing clients will be to support their transition towards more sustainable energy sources and the reduction of their greenhouse gas emissions, while maintaining its competitive and business position with these clients, thereby improving dialogue with them, in line with section 6.3.4 of this Policy.



7.2.2. Mining

Context and objectives

The mining industry plays an essential role within the wider economy. It is a source of significant income and wealth in numerous territories, providing decent jobs, corporate growth and tax revenue. Similarly, some minerals are essential for other industries. Minerals such as phosphates and potassium are used in

¹² Such as ISO 13623, the Pipeline Security Guidelines of the Transportation Security Administration (TSA) of the United States or other reference guidelines.

¹³ [Environmental and climate strategy | CaixaBank](#)

the agricultural and chemical industries; metals are needed to produce consumer and capital goods, and so forth. Recycling and other actions associated with the circular economy can certainly reduce the need for raw materials, but are unlikely to eliminate this need altogether.

Yet at the same time, this industry can generate negative environmental and social impacts. For this reason, CaixaBank believes it is essential to assess and manage the environmental, social and governance concerns related to its business activities. It therefore expects its customers and the mining companies included in its portfolios to comply rigorously with all applicable law and internationally recognised standards of responsible business.

Sector scope

These criteria apply to companies involved in the mining industry, including the exploration, planning and development, operation, closing and decommissioning of mines and the processing of the minerals extracted (excluding oil and gas, the criteria for which are provided in the section on energy). As concerns the processing of metals and minerals – including the refinement, casting and subsequent transformation of metals and minerals extracted via mining activities.

Applicable standards

The Policy has been prepared taking into account internationally recognised standards and initiatives, including in particular:

- The International Council on Mining and Metals (ICMM)
- C176 - Safety and Health in Mines Convention of the ILO (1995)
- Voluntary Principles on Security and Human Rights
- The Extractive Industries Transparency Initiative (EITI)
- Basel Convention on the Control of Transboundary Movements of Hazardous Wastes and their Disposal
- Minamata Convention on Mercury (gold)
- International Cyanide Management Code (gold mining)
- Good Practice Guide for Mining and Biodiversity of the International Union for Conservation of Nature (IUCN) and the International Council on Mining and Metals (ICMM)
- Environmental, health and safety guidelines for the mining sector of the International Finance Corporation (CFI) attached to the World Bank
- The Energy and Biodiversity Initiative (EBI)
- The Kimberley Process (diamond industry)
- OECD Due Diligence Guidance for Responsible Supply Chains of Minerals from Conflict-Affected and High-Risk Areas (tin, tantalum, tungsten and gold)
- ITRI Tin Supply Chain Initiative
- Fair Stone International Standard (natural stone)
- Bettercoal Code

- Recommendations of the International Commission on Radiological Protection
- Nuclear non-proliferation treaty (New York, 1968)
- Safety standards of the International Atomic Energy Agency (IAEA)

Aspects considered in the customer evaluation in relation to the mining sector

CaixaBank expects its customers in the mining sector to follow and develop best industry practices in relation to protecting biodiversity, occupational health and safety, protecting the rights of local communities and safety at its facilities. The general ESG risk assessment process is set out in section 6.3.1 of these Principles. As part of this due diligence, CaixaBank takes into consideration in its assessment the existence of a supply chain management system that takes into account environmental, human rights, and health and safety aspects relating to suppliers and subcontractors.

As part of the evaluation of customers and transactions related to the mining sector, in particular in relation to thermal coal mining, CaixaBank has assumed its own decarbonisation commitments. CaixaBank has published its commitment of stopping financing for companies whose activities involve the use of thermal coal, reducing the exposure to zero by 2030 ("phase out").

The aspects mentioned above constitute guidance for assessing clients in this area and shall be considered where applicable in accordance with materiality and proportionality, with the aim of determining whether they comply with the Policy.

Exclusions and restrictions

Clients

The Group shall not assume credit risk in new transactions and renewals with any of the following characteristics:

- In line with its thermal coal "phase out" commitment, groups **with more than 5% of revenues derived from thermal coal mining or developers¹⁴ of thermal coal mines**, except where:
 - They have a coal exit strategy ensuring that revenues from thermal coal mining will not exceed the 5% revenue threshold in 2030; or
 - the purpose of the operation is to install renewable energies or some other purpose that can be shown to involve the energy transition.
- Companies for which there is evidence that **the extraction of asbestos, uranium or other radioactive materials accounts for more than 10% of their turnover**.
- Companies carrying out **extraction using the Mountaintop Removal (MTR) method**.
- **Companies using cyanide to extract and/or separate gold from other minerals and that are not certified or in the process of certification under the International Cyanide Management Code (ICMC) or other equivalent certifications.**

¹⁴ Business that are developing or planning to develop new thermal coal mines or extend existing ones. The Global Coal Exit List (GCEL) is used as a reference for identifying companies involved in the coal industry, including those developing new coal-fired power generation capacity (energy) and those exploring, opening or expanding coal mines, or extending their operational life (mining).

- Companies engaged **in the mining of rough diamonds if their operations are not in certified countries or in the process of being certified** by the Kimberley process or other equivalent certificates.



Projects

The Group shall not assume credit risk in **new projects** with any of the following characteristics:

- that involve the mining of:
 - Thermal coal: new mines or expansion existing mines.
 - Metallurgical coal: new mines or expansion of already existing ones, unless it is proven that its use will have a purpose related to the steel industry.
 - Asbestos: new projects or expansion of already existing ones.
 - Uranium or other radioactive materials: new projects or expansion of already existing ones.
- that apply the following extraction/mining methods: *Mountaintop Removal* (MTR).
- Located in areas with an active armed conflict.
- That dump waste from any mineral extraction process in rivers or shallow waters.
- That do not include a soil recovery plan.

As concerns the processing of metals and minerals – including the refinement, casting and subsequent transformation of metals and minerals extracted via mining activities – the Group will not finance those projects or customers that:

- **Do not comply with the applicable national laws**, or that do not obtain and maintain the relevant permits and licences.
- **Do not have a supply chain management system that takes into account environmental aspects, human rights, or the health and safety of their vendors and subcontractors.**
- **Whose supplies come from conflict areas or where human rights** are threatened, and that do not have internationally recognised due-diligence processes, such as the OECD's Due Diligence Guidance for Responsible Supply Chains of Minerals from Conflict-Affected and High-Risk Areas.

As concerns the mining of uranium and other radioactive materials, as an exception, only those projects or companies involved in the extraction of said materials for civilian purposes may be financed in those cases in which the strictest international standards on health, safety and the environment are observed.

7.2.3. Transport and infrastructure

Context and objectives

The infrastructure sector is a major contributor to global economic growth by providing transportation and telecommunications networks. In an increasingly globalised world with a growing population, the importance of infrastructure cannot be understated. However, this sector faces potential environmental and social challenges, such as degraded biodiversity, access to resources, waste generation, pollution, impacts on local communities and more.

This sector includes companies whose activities related to the construction, operation and decommissioning of transport, water management, waste management and telecommunications facilities account for a significant portion of their activity.

Sector scope

Transport

The transportation industry is essential for global economic growth. The transportation of raw materials, end products and people can generate significant environmental impacts. The sector needs to become more energy efficient so as to ensure the sustainability of the transportation system.

Similarly, the construction and operation of transport facilities, such as ports, terminals, airports, railways and motorways could have environmental and social impacts, depending on the areas where the activity takes place.

Water management

Fresh water is in short supply, with rising levels of demand from the industrial and agricultural sectors and households. A steady supply of water and the proper management of that water are required to support life, develop the planet and protect the environment, and thus avoid negative impacts such as desertification, aquifer depletion and droughts.

For instance, dams can play a huge role in the development of many countries by providing a reliable supply of water to the public, yet they can also take their toll on the environment and local communities, especially large dams, which often change the flow of rivers and impact flora and fauna and other natural resources in the process.

Waste management

Good waste management is key to sustainable development. In particular, this can be achieved by minimising our consumption of raw materials via reuse, recycling and other practices linked to the circular economy, thus ensuring a more efficient use of natural resources.

Waste management involves collection, transportation and treatment. These activities, if not managed properly, can generate significant environmental and social risks (to health), depending on the type of waste to be treated.

Telecommunications and energy infrastructure:

The construction of telecommunications facilities, such as fibre optic cabling, or of energy infrastructures, such as electric grids, oil or gas pipelines, is essential for economic and social development. However, these

infrastructures can generate significant environmental and social impacts depending on where they are built.

All these detrimental environmental and social impacts can be avoided or minimised if companies properly apply general international standards, or standards that are specific to their industry.

Applicable standards

In preparing the Policy, CaixaBank has taken into account the main internationally recognised standards and initiatives, including in particular:

- OECD Framework for the Governance of Infrastructure
- World Commission on Dams (WCD)
- Dams and development project of the United Nations Environment Programme (UNEP)
- Building Research Establishment Environmental Assessment Methodology (BREEAM, READ)
- Convention on the safety and processing of spent fuel and on the safe management of radioactive waste (Vienna, 1997)
- Requirements of the International Maritime Organization
- Industry-specific reference guidelines of the International Finance Corporation (IFC)
- The Poseidon Principles
- Carbon Offsetting and Reduction Scheme (CORSIA)
- Climate-Aligned Finance Standard for the Aviation Sector (CAF)
- PEGASUS Guidelines (ACI Europe and Eurocontrol)

Aspects considered in the customer evaluation in relation to the infrastructure and transport sector

CaixaBank expects its customers in the infrastructure and transport sector to follow and develop best industry practices in relation to protecting biodiversity, occupational health and safety, protecting the rights of local communities and safety at its facilities.

The general ESG risk assessment process is set out in section 6.3.1 of these Principles. As part of this due diligence process, CaixaBank takes into consideration for its assessment:

- For air operators, whether they report the carbon footprint of their activity.
- For the air transport sector, whether they support carbon-neutral growth for international aviation through the "CORSIA" scheme.
- In particular for the maritime transport sector, a good practice to be taken into consideration is having a Policy or proper in place for the recycling of ships.
- For companies in the maritime transport sector, and when applicable, whether they comply with the "IMO GHG Strategy".

- Having a supply chain management system that takes into account environmental aspects, human rights, or the health and safety of their vendors and subcontractors.
- The aspects mentioned above constitute guidance for assessing clients in this area and shall be considered where applicable in accordance with materiality and proportionality, with the aim of determining whether they comply with the Policy.

Exclusions

The Group will not assume any credit risk in new projects involving:

- dams that violate the Framework of the World Commission on Dams.
- new desalination plants that do not consider measures to mitigate the adverse impacts resulting from the disposal of brine or the use of seawater¹⁵.

7.2.4. Agriculture, fishing, livestock and forestry

Context and objectives

Agriculture, fishing and ranching, in addition to providing food, are valuable sources of wealth that help to create jobs, fight poverty and improve the food chain. Similarly, silviculture and, more generally, industrial forestry, supply important resources to communities (foodstuffs, medicine, wood, water and air quality, spiritual and aesthetic values), and forests and other natural spaces also harbour significant species diversity.

At the same time, the increased demand for foodstuffs, fibres and biofuels is putting pressure on production that relies on existing resources, forcing it to expand to previously virgin areas. This can lead to a loss of biodiversity and protected species; soil erosion and land degradation; emissions generated from flare burning at plants and the use of fertilisers; contaminate sources of water; introduce invasive species and lead to land disputes and human rights abuses (including child labour and forced relocation).

For this reason, CaixaBank insists that its corporate customers in these sectors assess and properly manage the environmental and social impacts related to their activities.

Sector scope

The activities covered under the Policy for agriculture, fishing, livestock farming and forestry are as follows:

- Plantations for the farming and harvesting of agricultural products; plantation and felling of woodland; livestock farming.
- Refining and the transformation of agricultural products; the transformation of the wood; the production of pulp and paper.
- The production of foodstuffs and processed drinks.
- Extraction of the fishing resources in external waters and fish and shellfish aquaculture and hatchery activities.

¹⁵ In accordance with the Water and Sanitation Environmental, Health and Safety Guidelines of the International Finance Corporation.

- Marketing of products that contain or have been produced using cattle, cocoa, coffee, palm oil, rubber, soy and timber.

Applicable standards

The Policy has been prepared taking into account internationally recognised standards and initiatives, including in particular:

- Principles for Responsible Investment in Agriculture and Food Systems (FAO, IFAD, UNCTAD and World Bank)
- The World Wildlife Fund (WWF) 2050 Key Performance Criteria Guide to Responsible Investment in Agricultural, Forest, and Seafood Commodities
- The United Nations Agreement on Biological Diversity (1992) and the Nagoya Protocol (2010)
- The Cartagena Protocol on Biosafety in relation to Genetically Modified Organisms (GMO)
- Stockholm Convention on Persistent Organic Pollutants (POPs)
- International Code of Conduct on the Distribution and Use of Pesticides of the FAO
- OECD-FAO Guidance for Responsible Agricultural Supply Chains
- The Aquaculture Stewardship Council
- The UN Resolutions pertaining to sustainable fisheries
- The Alliance for Zero Extinction
- Global Good Agricultural Practice (GAP)
- Rainforest Alliance Sustainable Agriculture Standard (SAN)
- The Global Roundtable for Sustainable Beef (GRSB) and Standards Cattle Production System (SCPS)
- The World Organisation for Animal Health
- On the cultivation of soy:
 - The Roundtable for Responsible Soy (RTRS)
 - Basel Criteria for Responsible Soy Production
 - CGF Responsible Soy Sourcing Guidelines
- Palm oil:
 - The Roundtable on Sustainable Palm Oil (RSPO)
 - Principles and Criteria for Responsible Palm Oil Production
- Cotton, Coffee, Tea, Coconut, Sugar:
 - Fairtrade
 - Rainforest Alliance Certified
 - UTZ Certified
 - Better Cotton Initiative

- World Cocoa Foundation
- Ethical Tea Partnership
- 4C membership (coffee)
- Wood / rubber:
 - Forest Stewardship Council (FSC) standard
 - Programme for the Endorsement of Forest Certification (PEFC)
 - Rainforest Alliance or equivalent certification

Aspects considered in the assessment of customers in the agriculture, livestock, forestry and fishing sector

CaixaBank expects its customers in the agriculture, livestock, forestry and fishing sector to follow and develop best industry practices in relation to preserving nature, protecting biodiversity, occupational health and safety, protecting the rights of local communities and safety at its facilities. The general ESG risk assessment process is set out in section 6.3.1 of these Principles. As part of this due diligence process, CaixaBank takes into consideration for its assessment:

- The existence of procedures and systems to address land management, water, pollution and discharges.
- The existence of a supply chain management system that takes into account environmental, human rights, and health and safety aspects relating to suppliers and subcontractors.
- Where the company produces, processes or markets forest products, the existence of FSC (Forest Stewardship Council), PEFC (Programme for the Endorsement of Forest Certification) or equivalent certification for its production operations or in its supply chain.

The aspects mentioned above constitute guidance for assessing clients in this area and shall be considered where applicable in accordance with materiality and proportionality, with the aim of determining whether they comply with the Policy.

Exclusions

Customers

The Group shall not assume credit risk in new transactions and renewals requested by companies meeting any of the following characteristics:

- They are involved in **deforestation and/or forest degradation**¹⁶ and **produce, process or market** products that contain or have been produced using **cattle, cocoa, coffee, palm oil, rubber, soy or timber**.

¹⁶ From the date of application of Regulation (EU) 2023/1115 of the European Parliament and of the Council of 31 May 2023 on the making available on the Union market and the export from the Union of certain commodities and products associated with deforestation and forest degradation, and repealing Regulation (EU) No 995/2010; and Regulation (EU) 2025/2650 of 19 December 2025 amending Regulation (EU) 2023/1115 as regards certain obligations of operators and traders.

- They produce or process products regulated under the Convention on International Trade in Endangered Species of Wild Fauna and Flora (CITES)¹⁷ and are not authorised to do so.
- Palm oil producers that are not members of the Roundtable on Sustainable Palm Oil or equivalent association (unless they have requested membership or undertaken to do so).
- Soy producers that are not members of the Roundtable on Responsible Soy or other similar initiative/programme that champions responsible production (unless they have requested membership or undertaken to do so).
- Processors of products from the cultivation of palm or soy that do not have responsible supply practices.
- That practice fishing with explosives, poison or drift nets more than 2.5 km long or intended to capture the species included Annex VIII of EU Regulation 1239/98.
- Engaged in the capture of commercial shark species and in the trade of the corresponding fishery products that do not comply with the provisions on shark finning set out in Regulation (EC) 1185/2003¹⁸.
- That participate directly in commercial whaling or illegal fishing (Illegal, Unreported and Unregulated (IUU) fishing activities).



Projects

The Group shall not assume credit risk in projects meeting any of the following characteristics:

- **located in non-designated countries**¹⁹ as per the Equator Principles and directly related to:
 - The use or production of wood from or located in illegal logging operations.
 - Land clearing through burning.
- **That use substances prohibited by the Stockholm Convention**, included in Annex III of the Rotterdam Convention, and Class 1A or 1B of the WHO.

¹⁷ CITES Appendices: The regulation includes in Appendix I the endangered species (trading in these species is only permitted under exceptional circumstances), whereas Appendix II includes species that are not necessarily endangered, but their trading must be monitored to prevent a use that is incompatible with their survival.

¹⁸ No 1185/2003 on the removal of shark fins on board vessels.

¹⁹ The list of designated countries is published and updated at <https://equator-principles.com/designated-countries/>

- **For commercial palm oil plantations**, if swamps or peat-rich areas are drained and do not have a peat management system in place;
- **The production of first-generation biofuels**, meaning those that are produced from the biomass of crops that could be used to feed humans or livestock, in particular when the crops or livestock are located in countries at risk of hunger. As an exception, in countries that are highly dependent on energy imports and have no viable alternatives, CaixaBank may finance the production of first-generation biofuels that rely on practices to ensure their sustainable production and that mitigate the associated environmental risks.
- **Processing of products from the cultivation of palm or soy** that do not have responsible supply practices.



7.2.5. Defence and security

Context and objectives

This policy defines the applicable procedures and standards through which CaixaBank addresses the ESG risks related to the defence and security sector to perform its activities related to this sector in a responsible manner. CaixaBank expects defence and security companies to comply with the applicable regulations and international conventions ratified by the countries in which they are based.

Defence sector

In the current context, characterised by a more complex international environment and by the emergence of geopolitical and security risks of greater intensity, there is a trend towards strengthening the defensive capabilities and resilience of States against emerging threats.

In this regard, CaixaBank and its subsidiaries recognise the right of countries to defend themselves and to guarantee the security and protection of their citizens, as well as to have adequate defence and deterrence capabilities, as elements that contribute to stability, the preservation of democratic institutions and the international order. Accordingly, the Bank may maintain business relationships with companies related to the defence sector whose activity is considered consistent with legitimate national security and defence strategies, always in strict compliance with the legal, regulatory and human rights framework applicable at national and international level.

CaixaBank and its subsidiaries shall not operate in the defence sector where there may be a clear risk that defence material could be used for repression or other serious violations of international humanitarian law, conventions and arms non-proliferation treaties, and other related standards and guidelines.

Security sector:

In addition, governments and companies are increasingly turning to private security companies worldwide, sometimes outsourcing functions involving the potential use of force (such as prison management, border control, the protection of critical infrastructure or support in public order contexts) and which take place in sensitive environments. These circumstances may increase the risks of abuse, misuse of force and human rights violations, as well as challenges in terms of oversight and accountability, and therefore it is relevant that clients in this sector operating under such circumstances adopt enhanced care and due diligence.

Sector scope

CaixaBank, in line with standards applicable to this sector, considers the following definition of defence and security as part of this Policy:

- Defence companies: any company, group, institution, state agency or organisation involved in production, sales/marketing, testing, research and development, systems integration, maintenance and services.
- Security companies: companies providing private security services in line with the activities described in the Context section.

Applicable standards

For the definition of controversial arms, CaixaBank uses the criteria included in the international agreements on the matter. The different defence activities and/or material are classified into the following categories:

Conventional arms:

- Weapons (such as guns or other small arms, bombs, missiles or rockets), with the exception of weapons that fire blanks, are for sports use, replicas or collectors' items.
- Ammunition and explosives when put to military use (including bullets, rockets, torpedoes, grenades, mines, depth charges, etc.), provided that the intended use is not civilian in nature.

- Especially designed components and essential equipment for the production, maintenance and use of conventional weapons and ammunition; as well as software or hardware related to defence activities, unless they are intended to provide for civil protection and safety.
- Dual-use items: any items that may be used for either civil or military purposes, when their destination is military use. The CaixaBank Group uses the definition of dual-use items provided in EU regulation 428/2009 of the Council of 5 May 2009 on the control of exports and dual-use items, amended by Delegated Regulation (EU) 2016/1969 of the Commission of 12 September 2016, and Regulation (EU) 2021/821 of the European Parliament and of the Council of 20 May 2021 (repealing Regulation (EU) 428/2009, except for authorisation requests made before 9 September 2021).
- Any other product covered by the Arms Trade Treaty.

Controversial arms:

Although there is no universally accepted definition of controversial arms, at the date of publication, CaixaBank considers the following as controversial weapons, using the criteria established in international agreements:

- Anti-personnel mines: Convention on the Prohibition of the Use, Stockpiling, Production and Transfer of Anti-Personnel Mines (1997).
- Biological weapons: Convention on the Prohibition of the Development, Production and Stockpiling of Bacteriological and Toxin Weapons and on their Destruction (1972).
- Chemical weapons: Convention on the Prohibition of the Development, Production, Stockpiling and Use of Chemical Weapons and on their Destruction (1993). In addition, and although it is not included in this agreement, CaixaBank considers the use of white phosphorus as a controversial arm.
- Cluster bombs: Convention on Cluster Munitions (2008).
- Ammunition that contains depleted uranium: although there is no international agreement in force, CaixaBank recognises the concerns of some stakeholders in relation to depleted uranium ammunition.
- Nuclear weapons: Treaty on the Non-Proliferation of Nuclear Weapons (1968)

Aspects considered in the assessment of customers in the defence and security sector:

To ensure the correct management of the Group's customers and transactions affected by ESG risks in relation to the defence sector, periodic evaluation processes have been adapted and implemented. In order to admit as a client a company related to the defence and security sector or to finance a transaction, CaixaBank carries out enhanced due diligence in which ESG risks are analysed to ensure that the client or transaction complies with the Policy. This procedure applies to both new and existing customers and is periodically updated for customers in this sector.

CaixaBank has developed identification and assessment criteria to analyse companies linked to the defence and security sector and whether they are related to controversial armaments. The details are updated periodically and are provided and validated by external ESG data providers.

In addition, CaixaBank draws up lists of excluded corporations and of high-risk countries in terms of defence. Both are updated periodically and are distributed in a centralised manner and are applicable to the entire Group.

To ensure that financing is aligned with the principles set out in the Policy, consideration is given to whether companies have:

- Strong human rights commitments, due diligence processes aligned with international standards, and robust approval mechanisms for transactions in the sector.
- The existence of clear policies and processes to mitigate the risk of breaches of international humanitarian law.
- A strong ethical track record, free from serious controversies.

Exclusions and restrictions

As a general rule:

- **No Group company shall provide financial services to companies and their economic groups** with the following characteristics:



Companies that may be involved in the production, sale/marketing, testing, research and development, systems integration, maintenance and servicing of controversial weapons (including their essential components). These weapons include: anti-personnel mines; biological weapons; chemical weapons; white phosphorus; cluster bombs; ammunition that contains depleted uranium, and nuclear weapons. In the case of nuclear weapons, financial services may be provided on an exceptional basis to companies residing in countries that have ratified the 1968 Treaty on the Non-Proliferation of Nuclear Weapons, provided those companies carry out other activities beyond nuclear arms and are not related to any other type of controversial weapons. Under no circumstances may operations related directly to nuclear arms or any other type of controversial weapons be financed.

- **No new transactions or credit renewals related to defence material shall be financed** where any of the following conditions apply:



where the end user is not a public body, a largely publicly owned company or a private security firm. In the case of private security firms, the exclusion shall apply when they are unable to demonstrate that their products are to be used by the police or other security forces.



the aim of the operation **is to trade defence material with brokers rather than end users.**



The purpose of the transaction is the **sale of armaments to countries subject to arms embargoes imposed by the European Union, the United States or the United Nations.**



the aim of the operation **is to trade defence materials with countries carrying a high risk of human rights violations in connection with violence and civil oppression.**



the aim of the operation **is the production, holding or trade of nuclear weapons.**

As an exception, the Bank may consider establishing commercial relations with a company or group that may be subject to these exclusions if the purpose of the financing is unrelated to an activity involving defence material.

- **No Group company shall invest** in the capital or debt instruments of companies that manufacture defence materials or that are involved in the production, sale/marketing, testing, research and development, integration in systems, maintenance and service of arms (including their essential components) that are considered controversial (as defined earlier).

